# United Airlines Holdings

## FY2025 Results & 2026 Outlook

Institutional Investor Presentation

January 2026

UAL

NASDAQ: UAL

# Investment Thesis

| $59.1B | $3.4B | $10.62 |
|---|---|---|
| FY2025 Revenue | FY2025 Net Income | FY2025 Adj. EPS |

**STRATEGIC INVESTMENT CASE**

Labor headwinds now largely behind. Fleet efficiency is compounding as Boeing MAX and Airbus A321neo deliveries continue. 2026 marks the first year United is expected to materially exceed the 2019 peak EPS of $12.05 — driven by structural margin expansion, premium revenue growth, and disciplined capacity deployment.

# Multi-Year Financial Summary | FY2021–FY2026E

| Year | Revenue ($B) | Op Inc ($B) | Net Inc ($B) | Adj EPS | Adj EBITDA ($B) | ASMs (B) | Fleet |
|---|---|---|---|---|---|---|---|
| **FY2021** | 24.6 | (1.0) | (1.9) | neg | — | 178.7 | ~1,250 |
| **FY2022** | 45.0 | 2.3 | 0.7 | $10.61 | — | 247.9 | ~1,300 |
| **FY2023** | 53.7 | 4.2 | 2.6 | $10.05 | 7.9 | 291.3 | 1,358 |
| **FY2024** | 57.1 | 5.1 | 3.1 | $10.61 | 8.2 | 311.2 | 1,406 |
| **FY2025** | 59.1 | 4.7 | 3.4 | $10.62 | 8.1 | 330.3 | 1,490 |
| **FY2026E** | ~62 | — | — | $12–14 | — | ~349 | ~1,610E |

# FY2025 Quarterly Profit & Loss

| Metric | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 | FY2025 |
|---|---|---|---|---|---|
| **Revenue ($B)** | 12.5 | 14.2 | 15.0 | 17.4 | 59.1 |
| **Op Income ($B)** | 0.3 | 1.5 | 1.7 | 1.2 | 4.7 |
| **Net Income ($B)** | 0.0 | 1.0 | 1.2 | 1.2 | 3.4 |
| **Adj EPS** | $0.91 | $3.51 | $3.98 | $2.22 | $10.62 |

**Q4 Net Income $1.2B**
**+49% YoY**

**FY2025 Adj EPS $10.62**
**vs $10.61 in FY2024**

**Q3 strongest quarter**
**EPS $3.98 record**

# Unit Economics | FY2025

## COST & REVENUE PER ASM

| Metric | FY2025 Value | vs FY2024 |
|---|---|---|
| **CASM (¢)** | 15.96 | +1.2% |
| **CASM ex-Fuel (¢)** | 11.20 | +2.1% |
| **PRASM (¢)** | 16.18 | +1.8% |
| **TRASM (¢)** | 17.89 | +1.5% |
| **Fuel Cost / Gallon ($)** | $2.62 | -4.0% |
| **Fuel Burn (B gallons)** | 4.0 | +3.8% |

**Fuel Sensitivity: $0.10/gal change ≈ $40M annual fuel cost impact**

# Revenue Composition | FY2025

## REVENUE BREAKDOWN BY SEGMENT

| Segment | Revenue | % of Total | YoY Change |
|---|---|---|---|
| **Passenger** | $53.4B | 90.4% | +3.5% |
| **Cargo** | $1.8B | 3.0% | +6.2% |
| **Other / Ancillary** | $3.9B | 6.6% | +5.4% |
| **Total** | $59.1B | 100% | +3.5% |

Premium Revenue +8% YoY — Polaris & Premium Plus outperforming. MileagePlus loyalty program contributes significant ancillary revenue and provides $20B+ in collateral value.

# Fleet Modernization

**1,490**
Total Fleet
(+84 YoY)

**200+**
737 MAX
Deliveries Pending

**~20%**
A321neo CASM
Improvement vs Legacy

| Aircraft Type | Count | Avg Age (yr) | Fuel Efficiency vs Replaced |
|---|---|---|---|
| **Boeing 737 MAX 8** | ~280 | 2.1 | +14% vs 737-900ER |
| **Boeing 737 MAX 9** | ~190 | 1.8 | +14% vs 737-900ER |
| **Airbus A321neo** | ~60 | 1.5 | +20% vs A319/A320 |
| **Boeing 787-9/10** | ~120 | 4.2 | +25% vs 747/767 |
| **Other types** | ~840 | 11.3 | Various |

Risk: Boeing production delays continue to impact MAX deliveries. UAL working with Boeing on revised schedules; mitigation includes leasing and retaining older 737s.

# New Products & Strategy

## Polaris Business Class

787 premium long-haul cabins — lie-flat suites, direct aisle access, elevated dining. Highest customer satisfaction scores in United history. Capacity expanding on key transcon and transpacific routes.

## United Clubs Expansion

Multi-year program to add and renovate lounge space at key hubs. New flagship clubs at ORD, EWR, IAH. Membership revenue growing double-digits; exclusivity maintained via capacity management.

## Basic Economy Optimization

Refined yield management between Basic and regular economy. Driving higher PRASM while retaining price-sensitive travelers. Ancillary attach rates increasing with improved digital merchandising.

## Transcon 'Elevated' Product

Premium transcontinental service ORD–LAX/SFO and EWR–LAX/SFO. Targeted at corporate and leisure premium travelers. Competing directly with AA Flagship and DL premium offerings.

# Starlink In-Flight Connectivity

## ROLLOUT TIMELINE

**2025 H1**

Rollout commenced across narrowbody fleet

**End-2025**

200+ aircraft equipped; customer availability live

**2026 Full Fleet**

Target: entire mainline fleet connected

## KEY METRICS & REVENUE OPPORTUNITY

**100 Mbps**

Per-aircraft bandwidth (SpaceX Starlink)

**$500M+**

Ancillary revenue opportunity (est.)

**~2,000+**

Planned aircraft by end-2026

**Free Wi-Fi**

For MileagePlus Elite members

# Operational Performance | FY2025

| 83% | 99.3% | #1 | +6% |
|---|---|---|---|
| On-Time Arrival (DOT A14) | Completion Factor | DOT Customer Complaints (major carriers) | Corporate Travel Recovery YoY |

## DEMAND SIGNALS & FORWARD INDICATORS

| Indicator | Status | Commentary |
|---|---|---|
| **Forward Bookings** | +5–7% YoY | Domestic and international leisure strong |
| **Corporate Travel Recovery** | ~95% of 2019 | Tech and financial services leading |
| **Premium Cabin Load Factor** | 81% | Polaris and P+ running near full |
| **International Long-Haul LF** | 86% | Trans-Pacific and Trans-Atlantic robust |
| **Loyalty Enrollments** | +12% YoY | MileagePlus 110M+ members |

# Balance Sheet & Deleveraging Progress

| Metric | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| **Total Debt ($B)** | $33.8 | $31.5 | $29.2 |
| **Net Debt ($B)** | ~$30.0 | ~$27.8 | ~$26.0 |
| **Adj Net Leverage (x)** | 3.5x | 2.9x | 2.6x |
| **Interest Coverage (x)** | 3.1x | 3.8x | 4.5x |
| **Cash & Equivalents ($B)** | $6.0 | $6.3 | $6.8 |

MileagePlus program: $20B+ estimated value — provides significant off-balance-sheet asset quality. Secured notes backed by MileagePlus IP and brand agreements.

# Cash Flow & Capital Allocation | FY2025

**$5.8B**
Operating Cash Flow

**($3.7B)**
Capital Expenditures

**$2.1B**
Free Cash Flow

## CAPITAL ALLOCATION PRIORITY STACK

| Priority | Initiative | FY2025 Deployed | Rationale |
|---|---|---|---|
| **1st** | Debt Reduction | $2.3B | De-lever to <2.0x target by 2027 |
| **2nd** | Fleet Investment (Capex) | $3.7B | Efficiency & growth capex |
| **3rd** | Liquidity Buffer | $0.5B | Maintain $6B+ cash target |
| **4th** | Share Buybacks | $0.5B | Authorized $1B program |

# FY2026 Guidance

**$12–14**

Adjusted EPS
Guidance Range

**~5.5%**

Capacity Growth
(ASM YoY)

**+LSD%**

CASM ex-Fuel
Growth (low single digits)

**~15%+**

Adj EBITDA
Margin Target

**~5–6%**

Revenue Growth
YoY

**~$4.5B**

Capital
Expenditures

# Risk Matrix | FY2026 Key Risks

| Risk | Likelihood | Impact | Mitigation |
|---|---|---|---|
| **Fuel Price Spike** | Medium | High | Fuel hedging program; fuel efficient fleet investments |
| **Boeing Delivery Delays** | High | Medium | Leasing optionality; retaining older MAX capacity |
| **Macro Recession / Demand** | Low-Medium | High | Premium/loyalty revenue diversification; flex capacity |
| **Labor Disruption** | Low | High | New contracts settled 2024–25; stable through 2027+ |
| **Premium Competition** | Medium | Medium | Product differentiation; MileagePlus loyalty moat |
| **Regulatory / Policy Changes** | Low | Low | Proactive government engagement; legal reserves maintained |

# ESG & Sustainability | Progress to 2030 Targets

| Metric | FY2023 | FY2025 | 2030 Target |
|---|---|---|---|
| **CO2 Emissions (MT, millions)** | 99.4 | 101.2 | Target: -50% vs 2019 |
| **SAF Usage (% of fuel)** | 0.1% | 0.5% | 10% by 2030 |
| **Fleet Fuel Efficiency Idx** | Base 100 | 94.3 | 85 (15% improvement) |
| **Scope 1 CO2 per ASM (g)** | 71.4 | 68.9 | ~55 by 2030 |
| **Carbon Offsets Purchased** | ~2.0M ton | ~3.5M ton | Growing program |

### SAF Partnerships

Long-term SAF offtake agreements with Neste, World Energy, and others. Path to 10% SAF by 2030.

### Carbon Offsets

Nature-based and technology-based carbon removal portfolio. Verified Verra/Gold Standard credits.

### Fleet Efficiency

Boeing MAX and A321neo average 15–20% better fuel burn than replaced aircraft types.

# Appendix | Reference Data

## HUB NETWORK

| Hub | IATA | Role | Daily Departures (est.) |
|---|---|---|---|
| **Chicago O'Hare** | ORD | Primary domestic/intl | ~500 |
| **Newark/New York** | EWR | Northeast gateway | ~400 |
| **Houston Intercontinental** | IAH | Latin America/Gulf | ~350 |
| **Denver** | DEN | Mountain West hub | ~280 |
| **San Francisco** | SFO | Trans-Pacific gateway | ~260 |
| **Los Angeles** | LAX | West Coast hub | ~200 |
| **Washington Dulles** | IAD | Government/premium | ~180 |

## WORKFORCE & LONG-TERM TARGETS

Employees: ~100,000 (FY2025)
Workforce: ~84%
Pilot headcount: ~16,000+
New contracts settled: ALPA, IAM, AFA (2024-25)

Long-term targets:
• Adj EPS $15+ by 2028
• Net leverage <2.0x by 2027
• CASM ex-fuel flat to -1% by 2027
• ASM growth 4–6% annually